

7. Every manager can direct his immediate subordinates and take instructions from his immediate boss. Which feature of directing function in this?
- Directing initiates action
 - Directing flows from top to bottom of the organizational structure
 - Directing takes place in every level of management
 - Directing is a continuous process
8. The controlling function of management CANNOT be performed without _____.
- planning
 - organizing
 - staffing
 - motivation
9. What is the basis of marketing?
- Advertising
 - Selling
 - Satisfying customer needs
 - Profit
10. What is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter?
- Mass marketing
 - Market segmentation
 - Market targeting
 - Market positioning
11. What is a marketing concept that states consumers will favor those products that are conveniently available in adequate quantity and affordable?
- Product
 - Production
 - Selling
 - Buying
12. Which one of the following includes that other company that offer similar products & services to the same customer at similar prices?
- Supply chain
 - Competition
 - Product
 - Price
13. If a marketer considered factors such as the buyer's age, life-cycle stage, occupation, economic situation, lifestyle, personality and self-concept for grouping customers, which type of market segmentation is applied?
- Personal segmentation
 - Psychological segmentation
 - Behavioral segmentation
 - Demographical segmentation
14. The fact that services are sold, produced and consumed at the same time refers to which of the following service characteristics?
- Intangibility
 - Inseparability
 - Variability
 - Perishability

23. All are the challenges of human resource management that arise due to globalization, EXCEPT;

- A. Managing employee diversity
- B. Creating healthy work environment
- C. Managing communication/language barriers
- D. Labor laws and regulations

24. The process of studying and collecting information about a job is known as _____.

- A. Human resource planning
- B. Job design
- C. Job analysis
- D. Job evaluation

25. What is the main objective of the recruitment and selection process?

- A. Recruit the right candidates
- B. Meet the high labour turnover
- C. To enhance the costs of recruiting
- D. To facilitate job analysis

26. Which of the following is often given to employee to improve their efficiency?

- A. Development
- B. Training
- C. Promotion
- D. Transfer

27. All are the advantages of on the job training, EXCEPT;

- A. Relatively inexpensive
- B. Trainees learn by producing
- C. No need for off-job facilities
- D. It is free from the pressures and distractions

28. Which of the following factors CANNOT influence(s) employee compensation?

- A. Labour market
- B. Cost of living
- C. Labour unions
- D. Age of the employee

29. The existence of an appropriate compensation system in the organization, the firm benefited through;

- A. Reducing job satisfaction level of employees
- B. Enhancing the motivation level of employees
- C. Enhancing the absenteeism level of employees
- D. Enhancing the turnover level of employees

15. Mr. X is thinking about opening a new hardware and home improvement store in a community that research has shown needs more outlets. On which area of the marketing mix should he focus his attention?
- Distribution
 - Product
 - Production
 - Promotion
16. Which of the following is a controllable element for an international marketer?
- Level of technology
 - Geography and infrastructure
 - Channels of distribution
 - Cultural forces
17. One of the following is NOT a decision criterion for international marketing.
- Economic condition of the country
 - Political and legal risks of a country
 - Reliable source of foreign exchange
 - Tax rate in home country
18. All of the following are actual modes of market entry except:
- Licensing
 - Standardization
 - Franchising
 - Exporting
19. Which of the following alternative market entry modes offers the most control and risk?
- Franchising
 - Licensing
 - Indirect exporting
 - Strategic alliance
20. This dispute settlement mechanism allows flexibility for the parties not to abide by the decisions of the 3rd party:
- Arbitration
 - Litigation
 - Conciliation
 - Mediation
21. A pricing strategy that is mostly used by new exporters:
- Market skimming
 - Cost plus pricing
 - Market holding
 - Penetration Pricing
22. Which type of pricing policy is mostly adopted by multinational firms?
- Standard pricing policy
 - Market pricing policy
 - Two -tiered pricing policy
 - Penetration pricing policy

30. All are approaches that employees can separate from their organization, EXCEPT;

- A. Voluntarily when they joined another organization
- B. Non-voluntary when they die
- C. Retirement
- D. Promotion

31. One among the following is NOT TRUE about the study of organizational behavior.

- A. Organizational behavior is an investigative study of individuals and groups
- B. Organizational behavior studies the impact of organizational structure on human behavior
- C. Organizational behavior deals with the application of knowledge to achieve organizational effectiveness
- D. Organizational behaviour applies psychology in the study of group dynamics in organizations

32. The belief segment of an individual attitude is considered as _____.

- A. Affective
- B. Cognitive
- C. Behavioral
- D. Psychometric

33. One of the following explain the ways we judge people differently, depending on the meaning we attribute to a behavior

- A. Learning theory
- B. Attribution theory
- C. Ability-job fit
- D. Cognitive attitude

34. A type of group comprising employees who work together to complete a particular task or project is _____.

- A. Command group
- B. Task group
- C. Reference group
- D. Interest group

35. Mr. Debebe is the manager of ABC Trading. He is trying to motivate the employees through setting specific and challenging goals, participating employees in goal setting, and providing continuous feedback. Which theory of motivation is he most likely applying?

- A. Equity Theory
- B. Goal Setting Theory
- C. Expectancy theory
- D. Two factor Theory

36. Which statement is/are INCORRECT about organizational culture?
- A. Exerts influence on individuals, groups, and organizational processes.
 - B. Conveys a sense of identity for its members.
 - C. Facilitates the generation of commitment to something larger than self-interest.
 - D. Impacts on the stability of the social system.
37. The conflict resolution technique where each conflicting party gives up something of value to the conflict is considered as;
- A. Avoidance
 - B. Compromise
 - C. Authoritative command
 - D. Problem solving
38. Which of the following statements is/are not the characteristic(s) of leadership?
- A. Leadership deals with aligning people.
 - B. Leadership provides a direction for change.
 - C. Leadership involves motivating people.
 - D. Leadership deals with organizing and staffing.
39. Which of the following attributes of effective leaders enhances integrity, which is a personal virtue of an organization?
- A. Self-awareness
 - B. Self-regulation
 - C. Motivation
 - D. Empathy
40. In which of the following patterns of behavior a leader arrives at a decision, seeks the approval of his subordinates and gives his subordinates an opportunity to understand its line of thinking and intentions?
- A. Leader as an announcer
 - B. Leader as a seller
 - C. Leader as a clarifier
 - D. Leader as a senior partner
41. A leadership style the leader keeps his employees happy and creates harmony among them thus ensuring better communication and sharing of ideas, while providing inspiration and building trust is _____.
- A. Autocratic style
 - B. Authoritative style
 - C. Benevolent style
 - D. Coaching style